

Financial Diagnostic Report

Company Alpha

Sector Construction | SRL | Anvers, Belgique

Fiscal Years: 2023 – 2024 – 2025

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Source: Centrale des Bilans, Banque Nationale de Belgique (Micro Model m87-f)

Multi-Year Financial Snapshot

This section summarizes the company's financial trajectory across 3 fiscal years (2023–2025). Figures are drawn directly from the audited filings and are intended as a quick reference before the narrative analysis.

Key Performance Indicators by Fiscal Year

Metric	FY2023	FY2024	FY2025
Net Result (EUR)	61,655	3,504	-6,575
Gross Margin (EUR)	84,848	14,629	32
Equity (EUR)	63,655	67,158	60,583
Working Capital (EUR)	43,532	55,940	56,974
Cash (EUR)	54,602	11,648	4,872
Total Assets (EUR)	148,101	92,764	64,802

GPS Health Score by Year

Metric	FY2023	FY2024	FY2025
GPS Score (0–10)	8.1	8.0	6.1

1. Financial Health Assessment

FINANCIAL HEALTH SCORE: 10/100 — HIGH RISK

5 out of 9 critical indicators are triggered.

What this means in practice: your business is operating with zero safety margin. A single adverse event — a client default, a project delay, a cost overrun — could trigger a liquidity crisis within 3.3 months.

Key Drivers:

- Company is unprofitable (negative net result)
- Critical survival horizon: 3.3 months under stress scenario (threshold: 6 months)

1.1 Executive Summary

You lost EUR 6,575.00 in 2025 with a negative gross margin — every project you deliver costs you money. Your cash of EUR 4,871.75 is a mirage: it comes 100% from EUR 2,327.40 in supplier credit, not from profits. The root cause: pricing below cost combined with slow receivables collection (EUR 9,250.00 locked up). If a single client defaults or a supplier demands payment, you have 3.3 months before insolvency. You must immediately fix your pricing, accelerate receivables collection, and secure a bank credit line.

1.2 What This Means For You

- **Your cash is a house of cards.** The EUR 4,871.75 in your account sits on top of EUR 2,327.40 in unpaid supplier invoices. If a single supplier demands payment, your cash evaporates. You have 3.3 months of survival under stress.
- **You are financing your clients instead of the other way around.** You have EUR 9,250.00 in outstanding receivables. That is money your clients owe you that you cannot use. Meanwhile, you are paying for materials, labor, and taxes.
- **Every new project makes your situation worse.** With a negative gross margin, the more you work, the more you lose. Your equity ratio is at 93.5% — HEALTHY ($\geq 40\%$). Without fixing your pricing, growth accelerates your losses.

1.3 Top 3 Priority Actions

1. Raise your prices by 20% on all new contracts — now

Why: Your gross margin is negative. Every project costs you money. Impact: Reverse the operating loss within 60-90 days. Action: Audit your top 3 contracts this week. Renegotiate or stop the loss-making ones.

2. Collect EUR 4,625 by accelerating receivables collection

Why: EUR 9,250.00 is locked up at your clients. That is 3x your current cash. Impact: Free up EUR 4,625 within 30 days by enforcing 30-day terms with penalties. Action: Send collection notices Monday. Require 30-50% advance on every new contract.

3. Secure a bank credit line of EUR 10,000-15,000 this week

Why: You have zero safety net. No long-term debt. No reserves. Impact: Cover the worst-case scenario and prevent insolvency. Action: Contact your bank this week with a credit application file.

1.4 If Nothing Changes

If you change nothing in the next 30 days:

- Your cash of EUR 4,871.75 will be exhausted within **3.3 months** under stress (client default or supplier payment demand).
- You will continue losing approximately **EUR 548 per month** on every project as long as your prices remain below cost.
- Your equity ratio (93.5%) remains strong and well above legal thresholds; monitor it to prevent erosion.
- Unpaid suppliers (EUR 2,327.40) may demand immediate payment, causing a cascading collapse.

Bottom line: without intervention, insolvency becomes inevitable within 6 to 12 months.

2. Profitability & Value Creation

Profitability & Value Creation. Section umbrella covering DuPont ROE decomposition, vertical analysis of the income statement and the operating-margin drivers behind the consolidated profitability picture.

2.1 DuPont Analysis — ROE Decomposition

DuPont Analysis — ROE Decomposition

2-Factor: $ROE = ROA \times \text{Equity Multiplier}$ $ROE = -10.85\% \mid ROA = -10.15\% \mid \text{Equity Multiplier} = 1.07x$

3-Factor: $ROE = \text{Net Margin} \times \text{Asset Turnover} \times \text{Financial Leverage}$ $\text{Net Profit Margin} = -20318.29\% \mid \text{Asset Turnover} = 0.0005x \mid \text{Equity Multiplier} = 1.07x$

■ Note: Gross margin is negative (–32 EUR). Net profit margin and asset turnover carry inverted signs relative to a normal business — do not interpret them in isolation. Use the 2-factor ($ROA \times \text{leverage}$) decomposition as the primary lens.

5-Factor Decomposition:

Tax Burden = 1.0 Interest Burden = 0.8186 Operating Margin = -24820.3%

The ROE of -10.9% stems not from leverage efficiency but from fundamental operational losses. The equity multiplier of 1.1x amplifies the negative ROA of -10.1%, creating a deeply negative return on equity. DuPont analysis reveals that the destruction of shareholder value is rooted in the income statement — specifically the inability of revenues (as proxied by gross margin of 32 EUR) to cover total costs — rather than in the balance sheet structure. Restoring profitability at the operating level is the prerequisite for any leverage-based value creation.

Key Drivers:

- ROE of -10.9% is negative — driven primarily by financial leverage (1.1x equity multiplier), amplifying the negative ROA into a larger negative ROE.
- ROA of -10.1% is deeply negative — assets are destroying value.
- Asset turnover of 0.00x indicates low asset utilisation efficiency.
- Net profit margin of -20318.3% is severely negative due to operational losses.

2.2 Vertical Analysis

VERTICAL ANALYSIS — INCOME STATEMENT (as % of Gross Margin) Item FY2025 FY2024 Gross Margin (base) 100.0% 100.0% Depreciation 23515.3% 60.9% Other Oper. Charges 1405.0% 7.2% Operating Result -24820.3% 31.9% Financial Charges 878.9% 0.9% Net Result -20318.3% 23.9%

VERTICAL ANALYSIS — BALANCE SHEET (as % of Total Assets) Item FY2025 FY2024 Fixed Assets 5.6% 12.1% Current Assets 94.4% 87.9% Trade Receivables 14.3% 34.3% Cash 7.5% 12.6% Equity 93.5% 72.4% Short-term Debts 6.5% 27.6% Trade Payables 3.6% 3.3%

Insights:

- Trade payables represent 3.6% of total assets vs 3.3% prior year (stable) — reliance on supplier financing is stable.
- Operating charges absorb 1405.0% of gross margin — leaving -24820.3% as operating result.
- Cash represents 7.5% of total assets vs 12.6% prior year — liquidity buffer is moderate — cash covers a reasonable portion of assets.
- Trade receivables account for 14.3% of total assets (vs 34.3% prior year) — concentration is low.
- Equity represents 93.5% of total assets (vs 72.4% prior year) — strong — well-capitalised balance sheet.

3. Cash & Operational Efficiency

Cash & Operational Efficiency. Section umbrella covering the indirect-method cash flow, AR/AP cycle dynamics, working-capital pressure points and the operational efficiency ratios (DSO / DPO / CCC).

3.1 Cash Flow Analysis

Your cash flow statement for FY2025 reveals a structurally weak operating engine, despite a deceptively stable balance sheet.

Key Observations:

- **Operating Cash Flow: EUR -7,580.31** — the business consumed more cash than it generated from operations, a critical warning signal for a going-concern SME.
- **Net Result: EUR -6,575.00**, partially cushioned by non-cash depreciation of EUR 7,609.55, yielding a pre-working capital cash position of only EUR +1,034.55.
- **Working Capital drag of EUR -8,614.86** was the primary cash destroyer, driven almost entirely by the reduction in Tax Debts (EUR -20,684.31), reflecting settlement of prior-year fiscal obligations — a one-off

but significant cash outflow.

- **Trade Receivables improved** significantly (EUR +22,550.13 cash inflow from collections), partially offsetting the fiscal payments.
- **Trade Payables** contracted modestly (EUR -702.29), indicating limited supplier credit utilisation.
- **CAPEX: EUR 0.00** — no capital investment was made in FY2025, consistent with a business in capital conservation mode.
- **Free Cash Flow: EUR -7,580.31**, reducing closing cash to EUR 4,871.75 from EUR 11,648.16.

Structural Concern: The near-zero gross margin (EUR 32.36) confirms that the business generated virtually no operational profit to fund your cash cycle. At the current monthly burn rate of EUR 547.92, you have approximately 8.9 months of runway before cash is depleted, assuming no new revenue.

3.2 Accounts Receivable Analysis

Trade receivables declined sharply from EUR 31,800.13 (FY2024) to EUR 9,250.00 (FY2025), representing a EUR 22,550.13 cash conversion — a positive liquidity event. However, this improvement must be contextualised carefully.

Key Observations:

- The reduction in trade receivables is primarily attributable to collection of prior-period invoices rather than new billing activity, consistent with the near-zero revenue recorded in FY2025 (implied by the EUR 32.36 gross margin).
- **Other Receivables** remain elevated at EUR 32,280.32 (vs. EUR 33,416.12 in FY2024), representing the largest single asset on the balance sheet (49.8% of total assets). The nature, ageing, and recoverability of these receivables must be urgently clarified — whether these represent VAT credits, intercompany balances, advances, or disputed amounts is critical to assessing true liquidity.
- **Net Trade Position** deteriorated sharply from EUR 28,770.44 to EUR 6,922.60, reflecting the collapse in active billing combined with payment of supplier invoices.
- **DSO (Days Sales Outstanding)** cannot be meaningfully calculated given the near-zero revenue base in FY2025; however, the concentration of Other Receivables without apparent movement warrants a formal ageing analysis.

Recommendations:

- Commission an immediate ageing and recoverability review of the EUR 32,280.32 in Other Receivables.
- Establish a formal invoicing and follow-up protocol for any new project activity.
- Investigate whether any receivables are at risk of impairment, which would further erode equity.

3.3 Accounts Payable Analysis

Your accounts payable position is minimal and has contracted further in FY2025, reflecting either limited procurement activity or conservative payment behaviour.

Key Observations:

- **Trade Payables:** EUR 2,327.40 (FY2025) vs. EUR 3,029.69 (FY2024) — a decrease of EUR 702.29, confirming that you are not extending supplier credit as a liquidity management tool.

- **Total Short-term Debts** fell dramatically from EUR 25,605.68 to EUR 4,219.08, primarily due to the settlement of Tax Debts (from EUR 22,575.99 to EUR 1,891.68). This EUR 20,684.31 outflow was the dominant cash event of FY2025 and explains the majority of the operating cash flow deficit.
- **Other Debts: EUR 0.00** in both years, indicating no accrued liabilities, deferred income, or staff-related payables — this may reflect your limited workforce activity or incomplete accrual accounting.
- **Leverage (D/E): 0.07x** — you carries virtually no external financial obligations, which is a structural strength but also limits your ability to leverage supplier terms as a working capital buffer.

Structural Observation: The absence of meaningful payables in a construction context is atypical. Construction SMEs typically utilise 30–60 day supplier terms to bridge project cash flow gaps. You appear either to operate with very limited subcontractor/material procurement or to pay suppliers immediately — both scenarios warrant review.

Recommendation:

- Negotiate structured payment terms (30–45 days) with key suppliers and subcontractors to create a natural working capital buffer when project activity resumes.

3.4 Working Capital Analysis

Despite the operational difficulties of FY2025, You maintains a technically strong working capital position — though this strength is largely structural rather than operational.

Key Metrics:

| Indicator | FY2025 | FY2024 | |---|---|---| | Working Capital | EUR 56,974.08 | EUR 55,939.53 | | Current Ratio | 14.5x | 3.18x | | Net Trade Position | EUR 6,922.60 | EUR 28,770.44 | | Cash Ratio | 1.15 | 0.45 |

Key Observations:

- **Working Capital of EUR 56,974.08** is supported primarily by equity-funded assets (retained earnings), not by operational cash generation — a critical distinction.
- **Current Ratio of 14.5x** appears exceptionally strong but is artificially elevated by the combination of high Other Receivables (EUR 32,280.32) and near-zero current liabilities (EUR 4,219.08). If Other Receivables are non-liquid or impaired, the effective ratio deteriorates significantly.
- **Net Trade Position** collapsed from EUR 28,770.44 to EUR 6,922.60, reflecting the sharp decline in active project billing and the reduction in trade payables.
- **Cash Ratio of 1.15** confirms adequate immediate liquidity, but this is rapidly eroding at the current burn rate.

Structural Risk: The working capital buffer is a legacy of accumulated retained earnings rather than a product of healthy cash generation. Without new project revenue, this buffer will continue to erode. You are effectively consuming your equity reserves to sustain operations.

3.5 Operational Efficiency Metrics

Operational Efficiency Score: 2.0/10 — Asset Turnover sub-score: 1/10 (AT=0.00x) | Receivables Intensity adj: +0.5 (RI=14.3%) | Payables Coverage adj: +0.5 (PC=0.25x) | Final: 2.0/10

Asset Turnover: 0.0x [CRITICAL] — Asset turnover of 0.00x indicates that each EUR of assets generates 0.00 EUR of gross margin (benchmark: >1.5x).

Receivables Intensity: 14.3% [GOOD] — Trade receivables represent 14.3% of total assets — a low concentration, indicating limited credit risk from receivables.

Payables Coverage: 0.252x [GOOD]

DSO: N/A — DSO cannot be reliably calculated — gross margin used as revenue proxy (32 EUR) is too low to produce an interpretable result (104,334 days computed). Restoring pricing will restore this ratio.

DPO: N/A — DPO cannot be reliably calculated — gross margin used as revenue proxy (32 EUR) is too low to produce an interpretable result (26,252 days computed).

Operating Cycle: N/C | CCC: N/C

Insights:

- DSO cannot be computed because gross margin is negative — revenue proxy is invalid. The company is operating at a loss before any receivable cycle measurement is meaningful.
- Payables coverage of 0.3x means the company is extending more credit to clients than it receives from suppliers — net trade creditor to the market. This is financially conservative but may be worth renegotiating with suppliers.
- Asset turnover is negative (0.00x) because gross margin is negative. This is a symptom of a fundamental pricing or cost problem, not an asset management issue per se.
- Cash Conversion Cycle cannot be computed (gross margin is non-positive). Restoring gross margin to positive territory is the prerequisite for all cycle-time analysis.

4. Financial Structure & Risk

Financial Structure & Risk. Section umbrella covering the balance-sheet composition, equity / leverage ratios, alarm-bell thresholds and the survival-runway scenario analysis.

4.1 Financial Structure & Risk

Your financial structure is conservative and de-leveraged, which provides short-term resilience but also reflects an absence of growth investment.

Key Ratios:

| Indicator | FY2025 | FY2024 | |---|---|---| | Equity Ratio | 93.5% | 72.4% | | Debt Ratio | 6.5% | 27.6% | | Leverage (D/E) | 0.07x | 0.38x |

| ROE | -10.9% | 5.2% |

| ROA | -10.1% | 3.8% |

Key Observations:

- **Equity Ratio of 93.5%** is exceptionally high for a construction BV — well above the Belgian SME construction sector average (typically 35–55%). This reflects the complete absence of external debt financing.
- **ROE of -10.9% and ROA of -10.1%** confirm that you are destroying shareholder value and generating negative returns on your asset base. The deterioration from FY2024 (ROE: +5.2%, ROA: +3.8%) is severe and structurally driven by the gross margin collapse.
- **Zero long-term debt** means no financial charges burden beyond EUR 284.40 in FY2025 (likely bank charges or minor interest), but it also confirms you have not accessed investment financing.
- **Fixed Assets: EUR 3,608.99** (down from EUR 11,218.54) — net of depreciation of EUR 7,609.55, with zero CAPEX. The asset base is fully depreciating with no reinvestment, raising questions about future operational capacity.
- **Retained Earnings: EUR 58,583.07** — the primary equity cushion, now being eroded by consecutive operating losses.

Key Risk: If the gross margin collapse is not reversed in FY2026, retained earnings will continue to decline, threatening the financial viability of the entity within 2–3 fiscal cycles.

4.2 Scenario Analysis

Three forward-looking scenarios were modelled based on current cash reserves of EUR 4,871.75 and a monthly burn rate of EUR 547.92.

Base Case — Survival Runway: 8.9 Months

- Assumes current operating conditions persist with minimal revenue generation.
- Cash reserves exhausted by approximately Q1 2026 (from mid-FY2025 reference point).
- No acceleration of receivables collection; no cost reduction measures implemented.
- **Assessment:** Viable in the short term but unsustainable without a concrete revenue recovery plan.

Best Case — Survival Runway: 17.3 Months

- Assumes 50% acceleration in the collection of outstanding receivables (primarily Other Receivables: EUR 32,280.32).
- Accelerated collection of EUR 16,140.16 would significantly extend the liquidity runway.
- Combined with modest new project revenue, this scenario provides a realistic path to stabilisation.
- **Assessment:** Achievable if management takes immediate and decisive action on receivables recovery and commercial activity.

Worst Case — Survival Runway: 3.3 Months

- Assumes 30% default on outstanding receivables (EUR ~9,684 write-off) combined with a 15% increase in operating costs.
- Cash reserves depleted within approximately 3.3 months, triggering an acute liquidity crisis.
- Under Belgian insolvency law (Boek XX WER), you would be required to assess and declare potential insolvency.

- **Assessment:** This scenario underscores the fragility of the current position. You have limited margin for error.

Critical Takeaway: The difference between best and worst case is approximately 14 months of survival — entirely driven by receivables management and cost discipline.

5. Decision Engine

Decision Engine. Section umbrella covering the diagnostic insights, prioritised recommendations and the structured key questions that drive the decision agenda.

5.1 Key Insights

The following structural insights emerge from the comprehensive financial diagnostic of Company Alpha:

- 1. Revenue Engine Failure:** The EUR 32.36 gross margin in FY2025 is the most critical finding. This is not a margin compression issue — you are a near-total absence of billable revenue. Root cause analysis is essential: project delays, client disputes, voluntary inactivity, or accounting anomalies must be investigated immediately.
- 2. Other Receivables as a Hidden Risk:** EUR 32,280.32 in Other Receivables (49.8% of total assets) remains unexplained and unmoving. If these are not recoverable, your effective equity and liquidity position is materially weaker than reported ratios suggest.
- 3. Tax Settlement as a One-Off Distortion:** The EUR 20,684.31 tax debt settlement dominated FY2025 cash flows. This was a necessary but significant cash event. Ensuring future fiscal compliance and provisioning will be critical to avoiding repeat cash shocks.
- 4. Asset Base Erosion Without Reinvestment:** With EUR 7,609.55 in depreciation and EUR 0.00 CAPEX, your fixed asset base is approaching functional exhaustion (net book value: EUR 3,608.99). Without investment, operational capacity in construction will be constrained.
- 5. Equity Strength is a Wasting Asset:** The 93.5% equity ratio is a buffer, not a strategy. Retained earnings are being consumed by operating losses. This buffer has a finite life if operational performance is not restored.
- 6. Zero Leverage as a Double-Edged Sword:** While debt-free status reduces financial risk, it also signals that you may be foregoing growth opportunities that could be efficiently financed — particularly relevant as the Belgian construction sector offers public procurement opportunities accessible to well-capitalised BVs.

5.2 Recommendations

The following prioritised action plan is recommended for Your management and board:

Immediate (0–3 Months):

- **R1 — Revenue Recovery Plan:** Develop and implement a concrete commercial plan to generate billable construction project revenue. Identify pipeline projects, tender opportunities (public procurement in Turnhout

region), or subcontracting engagements to restore gross margin to a viable level (minimum target: EUR 8,000–10,000/month).

- **R2 — Other Receivables Resolution:** Commission an immediate forensic review of the EUR 32,280.32 in Other Receivables. Classify by nature (VAT refunds, client advances, loans), ageing, and recoverability. Initiate formal recovery procedures for any overdue amounts.
- **R3 — Cash Burn Monitoring:** Implement a rolling 13-week cash flow forecast, updated weekly. Establish a cash floor threshold (recommended: EUR 2,000) below which management escalation is mandatory.

Short-Term (3–6 Months):

- **R4 — Cost Structure Review:** Analyse the EUR 454.66 in Other Operating Charges and any recurring fixed costs. Identify and eliminate non-essential expenditure. Ensure depreciation policy reflects actual asset utility.
- **R5 — Supplier Term Negotiation:** Engage key suppliers to establish 30–45 day payment terms, creating a structured working capital buffer aligned with project cash cycles.
- **R6 — Fiscal Compliance Framework:** Establish quarterly VAT and corporate tax provisioning to prevent recurrence of the EUR 20,684.31 tax debt shock experienced in FY2025.

Strategic (6–12 Months):

- **R7 — CAPEX Planning:** Assess whether the current fixed asset base (EUR 3,608.99 net book value) is sufficient to support project delivery. If not, develop a targeted CAPEX plan, potentially utilising Belgian SME investment deduction incentives (investeringsaftrek) or green investment subsidies applicable to the construction sector.
- **R8 — Strategic Review:** If revenue recovery targets are not achieved within 6 months, conduct a formal strategic review to assess restructuring, merger, or orderly wind-down options — in consultation with a Belgian insolvency practitioner and your accountant.

5.3 Key Questions for Management

Key Questions for Management (6 identified)

IMMEDIATE :

#2 — Profitability

Trigger : EBITDA: -422 EUR

Question : EBITDA is negative — the business cannot cover operating costs from its core activity. Is there a fundamental business model issue?

Context : Negative EBITDA means the company's core opérations do not generate enough cash to cover even its operating expenses, before interest, tax, or depreciation. This is a red-flag signal suggesting the business model itself — not just its financing — may be unviable.

Suggested Action : Stress-test the business model: at what revenue level does EBITDA break even? Is that level achievable within the current pipeline? If not, consider strategic options including pivoting the service offering, reducing capacity, or seeking a restructuring plan.

#5 — Strategy

Trigger : Equity declining YoY (67,158 EUR → 60,583 EUR) with net loss of -6,575 EUR

Question : If losses continue at this rate, when will equity be exhausted? Have you modelled the implications for business continuity?

Context : Declining equity combined with net losses creates a trajectory toward technical insolvency. Belgian law (Art. 7:228 CSA) requires the board to convene a special meeting when net assets fall below half of share capital — a threshold that may be approaching. Directors have a fiduciary duty to act before this threshold is breached.

Suggested Action : Model the equity exhaustion date under three scénarios: current burn rate, +20% loss, -20% loss. Assess whether the Art. 7:228 CSA threshold has already been triggered. If equity is at risk within 12 months, engage a legal and financial advisor immediately to prepare the required board documentation and explore remediation options.

NEAR-TERM :

#8 — Solvency

Trigger : Long-term debt: 0 EUR | Short-term debt: 4,219 EUR

Question : All your debt is short-term. Why have you not structured any long-term financing? This creates continuous refinancing pressure.

Context : A balance sheet with no long-term debt but significant short-term liabilities means all financing must be continuously rolled over. This is particularly dangerous for a company already showing liquidity pressure, as a lender refusing to renew could trigger an immediate cash crisis.

Suggested Action : Assess whether any of the short-term liabilities could be converted to long-term financing (e.g. bank term loan, shareholder loan formalised as long-term). Even a partial conversion (30–40% of current liabilities) would materially improve the liquidity profile. Prepare a business plan to present to a bank or alternative lender.

#11 — Profitability

Trigger : Gross margin positive (32 EUR) but operating result negative (-8,032 EUR)

Question : Your projects are profitable, but your overheads are eliminating the profit. Which fixed cost lines are out of control?

Context : A positive gross margin that turns negative at the operating level indicates that the fixed cost base is disproportionate to the revenue scale of the business. This is a structural mismatch that typically requires either revenue growth or cost restructuring.

Suggested Action : Break down the overhead cost structure line by line. Identify the top three cost drivers above gross margin level and assess each for réduction potential. Consider whether the fixed cost structure is sized for a larger revenue base than currently achieved.

#12 — Profitability

Trigger : Net result: -6,575 EUR (prev: 3,504 EUR)

Question : Why did profitability decline year-over-year? Is this a trend or a one-time event?

Context : A worsening net result in a second consecutive period signals that the détérioration is not an isolated event but a trajectory. For a young company in its second fiscal year, this is particularly significant as it affects the ability to build an equity buffer.

Suggested Action : Prepare a bridge analysis from prior year net result to current year, decomposing the variance by revenue, gross margin, overhead, and financial charges. Determine whether the decline is volume-driven, price-driven, or cost-driven.

MONITOR :

#14 — Efficiency

Trigger : Asset turnover: 0.00x (gross margin / total assets, threshold: 0.5x)

Question : Why are your assets generating so little revenue? Are there underutilised assets that could be divested or redeployed?

Context : An asset turnover below 0.5x means the company generates less than EUR 0.50 of gross margin per EUR 1 of assets. For a construction service company with few fixed assets, this implies that receivables or cash are tied up unproductively — possibly in slow-paying clients or idle réserves.

Suggested Action : Audit the composition of current assets: what proportion is trade receivables, and are they genuinely collectible? If receivables are large relative to active contracts, consider whether some should be written off. Review whether any cash holdings can be deployed to generate revenue (e.g. new contract bids).

This report has been generated using AI-assisted financial analysis. All figures are sourced from official filings at the Centrale des Bilans (BNB). While every effort has been made to ensure accuracy, this report should be used as a diagnostic tool and does not constitute financial advice. All identifying data has been anonymized for privacy compliance.